

9. FUNCTIONS, CONTENTS AND CHOICE OF CONTRACT LAW

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

A.y. 2024/2025

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Un. 9

Sirena, *Introduction to Private Law*, 3rd edition

1. PARTY AUTONOMY
2. FREEDOM OF CONTRACT AND LIMITS
3. EU CONSUMER CONTRACT LAW
4. CHOICE OF LAW AND ISSUE OF JURISDICTION AND PROPER LAW
5. CHOICE OF CONTRACT LAW



PARTY AUTONOMY

To a large extent, contract law is based on the assumption that parties are the best judges of their own interests

Subsidiarity principle

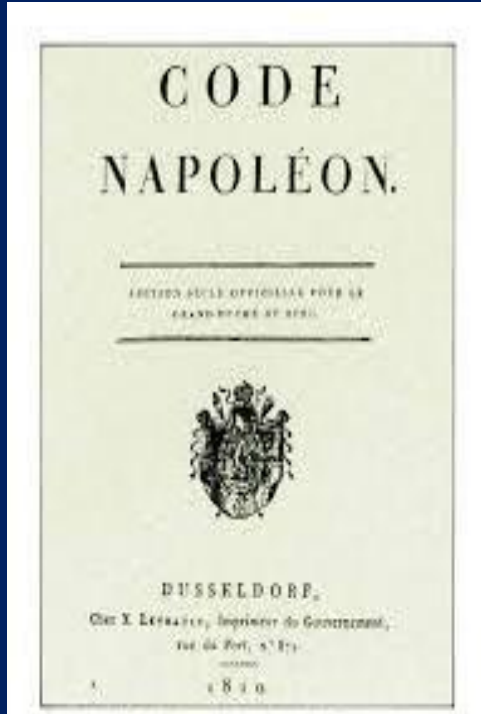


Freedom of contract

It is no part of the function of this Court to make for a disappointed party a better bargain or to grant him the optimum resolution of the problems as they existed at the [relevant time]

Travers v
Lismore (9
March 1990),
Gannon J

FREEDOM OF CONTRACT



Art. 1102 of the French Civil Code (as amended in 2016)

1. Everyone is free to contract or not to contract, to choose the person with whom to contract, and to determine the content and form of the contract, within the limits imposed by legislation
2. Contractual freedom does not allow derogation from rules which are an expression of public policy

LIMITS TO FREEDOM OF CONTRACT

- Parties may wish to contract in a manner considered contrary to law or morality
- It may also happen that one of the contracting parties is not capable of assessing her/his own interest, or, although she/he is capable of it, her/his will is affected by some ground of irrationality



In those cases, the law dictates '**mandatory rules**', which declare such a contract void or at least avoidable by one of the parties

LIMITS TO FREEDOM OF CONTRACT

Sirena, *Introduction*, ch.
8, paras 1.5.2

**B-to-B Contracts
(B2B)**



**B-to-C Contracts
(B2C)**



In business-to-consumer contracts EU law imposes significant limits on party autonomy

UNIFORM CONTRACT LAW

Sirena, *Introduction*,
ch. 3, para 5



UNITED NATIONS CONVENTION ON CONTRACTS FOR THE INTERNATIONAL SALE OF GOODS (Vienna Convention or CISG)

Applicable solely to **B2B** sales of goods

Date of adoption: 11 April 1980

Date of entry into force: 1 January 1988



EU (CONSUMER) CONTRACT LAW



- In the last three decades the EU legislator has enacted several directives regarding contract law that almost exclusively govern B-to-C transactions
- European contract law is rather fragmented: directives only deal with special contracts (e.g. package travel, doorstep sales, consumer sales) and only with certain aspects of these contracts (e.g. information duties, right of withdrawal)

EU CONTRACT LAW



The legal basis for the EU competence on contract law is primarily the following:

Art. 114 of the Treaty on the Functioning of the European Union (TFEU), according to which EU institutions may adopt measures harmonizing national laws *‘which have as their object the establishment and functioning of the internal market’*

NATIONAL CONTRACT LAW

National jurisdictions

In national jurisdictions/legal systems, contract law is primarily laid down by the legislator and by the courts

Despite such commonalities, parties may have the need to choose a specific national law to regulate their contract, particularly when carrying out a cross-border transaction



World's jurisdictions

Contract law is arguably one of the fields where more commonalities among the world's jurisdictions can be found

CHOICE OF LAW



The **choice of law** clause is a term of a contract whereby the parties specify:

- 1) Which court shall have **jurisdiction** over disputes that may arise between the parties in relation to the contract
- 2) Which **law** is applicable to their contract

THE ISSUE OF JURISDICTION



CONVENTION OF 30 JUNE 2005 ON CHOICE OF COURT AGREEMENTS

signed on behalf of the European Union and the United States of America

Date of entry into force: 1 October 2015



THE ISSUE OF JURISDICTION



REGULATION (EU) No 1215/2012
OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL
of 12 December 2012 on jurisdiction and the recognition and enforcement
of judgments in civil and commercial matters

so-called BRUSSELS I REGULATION

ARBITRATION CLAUSE

"Any dispute or claim arising out of this Agreement shall be referred to and resolved by the International Chamber of Commerce (ICC) in Paris in accordance with the ICC Conciliation and Arbitration rules"

Arbitration is governed by domestic laws as well as by international treaties, such as the **1958 New York Convention**

THE ISSUE OF PROPER LAW



Choice of the applicable law by the parties may be directed to:

1. The contract law rules of a specific national State (e.g. France, Delaware, etc.)
 - **“Hard law” choice**

2. The contract law rules set out in a restatement (e.g. PICC, PECL, DCFR)
 - **“Soft law” choice**

This latter choice is usually combined with the inclusion of an arbitration clause

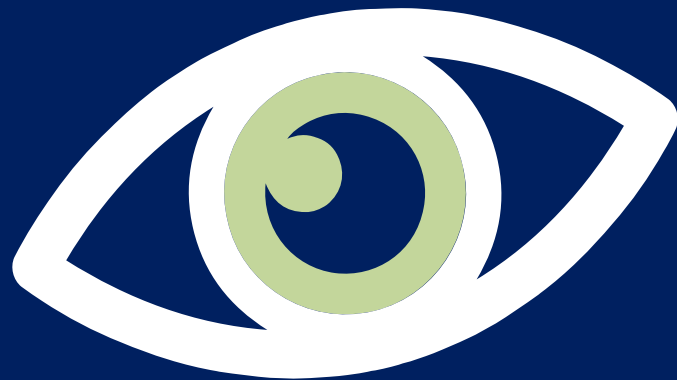
Bear in mind the distinction...

See also slide on
«statism and national
and uniform law»

Hard Law



Soft Law



“Range of quasi-legal instruments that do not bear an actual legally binding force (or the binding force of which is somewhat weaker than the one of traditional law)”

(Sirena)

a source of inspiration

- for courts while settling a dispute
- for parties while drafting a contract and
- can be chosen as the law applicable to the parties' agreement, **usually combined with an arbitration clause**

Draft projects of European Private Law

It amounts to a source of soft law which functions within the realm of interpretation, complementing and offering an alternative to national law

"PRINCIPLES"

Demonstrated their efficacy as model laws, both within individual nations and within the European Union

✗ Not binding in a positivistic sense

✗ Not belonging to an individual legal system

✓ Precise in their content and appropriate for a possible enforcement

Why
«principles»?

DRAFT PROJECTS OF EUROPEAN PRIVATE LAW

Sirena, Introduction,
ch. 8, para 2.1

Role of
comparative
law?

To find the best
solutions for achieving
harmonization of the
law

Also rules
unknown in
the majority of
legal systems
or in all legal
systems

Accordingly:
**Law beyond
the State**

This method
was
successfully
adopted by
the CISG

These projects often
represented a
blueprint for an
approximation of
laws in the European
area

European

Scientific



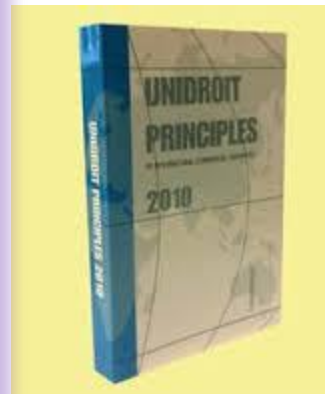
The best-known sets of soft law rules in contract law are:



Sirena, *Introduction*,
ch. 8, para 2.2

The UNIDROIT PRINCIPLES OF INTERNATIONAL COMMERCIAL CONTRACTS (4th edition, 2016)

- cover all the most important topics of general contract law
- main source of inspiration was the CISG
- general rules of international sales law and other contracts to be performed at one time
- drafted by a working group composed by scholars and practitioners from all over the world



PECL

Sirena,
Introduction, ch
8, para 2.2.

Principles of European Contract Law

- set of model rules drawn up by leading contract law academics in Europe set up by Ole Lando ("Lando Commission")
- attempt to outline the basic rules of contract law and more generally the law of obligations which are common to most legal systems of the EU member states
- are based on the idea of a uniform European contract law system
- consider the requirements of the European domestic trade



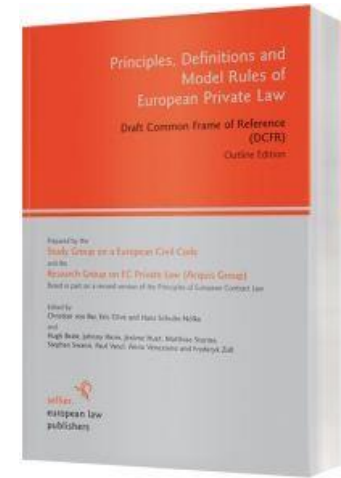
Principles, Definitions and Model Rules of European Private Law

Draft Common Frame of Reference (DCFR)

Outline Edition

Prepared by the
Study Group on a European Civil Code
and the
Research Group on EC Private Law (Acquis Group)
Based in part on a revised version of the Principles of
European Contract Law

Edited by
Christian von Bar, Eric Clive and Hans Schulte-Nölke
and
Hugh Beale, Johnny Herre, Jérôme Huet, Matthias Storme, Stephen Swann,
Paul Varul, Anna Veneziano and Fryderyk Zoll



RESTATEMENT (SECOND) OF CONTRACT

- promulgated by the ALI, a private organization of of scholars, judges and practitioners
- the first restatement of contract was promulgated in 1932, the second officially in 1981
- seeks to formulate “in the aggregate” the American law of contract, as though the U.S. consisted of only one, rather than fifty, state jurisdictions
- when the single States are in conflict, it is represented not the rule adopted in their majority, but the “better view”



CONTRACTS 2d

Official Text and Comments

As Adopted and Promulgated

BY

THE AMERICAN LAW INSTITUTE

AT WASHINGTON, D.C.

May 17, 1979

Formatted for Electronic Media

by

Prof. William H. Widen
University of Miami School of Law
2013

Published with the permission of The American Law Institute



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CHOICE OF CONTRACT LAW



- Convention on the law applicable to contractual obligations opened for signature in Rome on 19 June 1980
- Regulation (EC) No 593/2008 of the European Parliament and of the Council of 17 June 2008 on the law applicable to contractual obligations (so-called **Rome I Regulation**)

CHOICE OF CONTRACT LAW

ART. 3 OF ROME I REGULATION

Freedom of choice

1. A contract shall be governed by the law chosen by the parties. The choice must be expressed or demonstrated with reasonable certainty by the terms of the contract or the circumstances of the case. By their choice the parties can select the law applicable to the whole or a part only of the contract.



CHOICE OF CONTRACT LAW

ART. 6 OF ROME I REGULATION

Consumer contracts

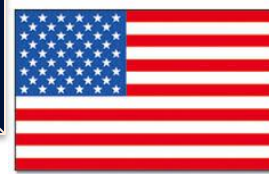


Choice of law is barred when the business activity of the trader or the professional who enters into a contract has been either pursued in, or directed to the country where the consumer has her/his habitual residence

If so, the contract «*shall be governed by the law of the country where the consumer has his habitual residence*»

CHOICE OF CONTRACT LAW

Sirena, Introduction,
ch 3, para 5; ch 7,
para 2



In the U.S. legal system, contract law is regulated at state-level, and there is no formal Federal contract law

B-to-B transactions

Uniform Commercial Code
(U.C.C.)



B-to-C transactions

- Common law and special statutes (about food, drugs, etc.)

UNIFORM COMMERCIAL CODE (since 1952)

It is drawn up by private organizations and actually adopted by all 50 States, the District of Columbia, and the U.S. territories (e.g. Puerto Rico, American Samoa, etc.). The part of the UCC dealing with contracts is Article 2 and it is specifically **limited to contracts for the sale of goods**.

